

is a rare but by no means unknown phenomenon. A policy of careful selection in this field should bring good results, provided the investor has the patience and persistence needed to find his opportunities.

*d. Purchase of securities selling well below intrinsic value.* Intrinsic value takes into account not only past earnings and liquid asset values but also future earning power, conservatively estimated—in other words, qualitative as well as quantitative elements. We think that since a large percentage of *all* issues nowadays are relatively unpopular, there must be many cases in which the market goes clearly and crassly astray, thus creating real opportunities for the discriminating student. These may be found in bonds, preferred stocks and common stocks.

In our view, the search for and the recognition of security values of the types just discussed are not beyond the competence of the small investor who wishes to practice security analysis in a nonprofessional capacity, although he will undoubtedly need better than average intelligence and training. But we think it should be a necessary rule that the nonprofessional investor submit his ideas to the criticism of a professional analyst, such as the statistician of a New York Stock Exchange firm. Surely modesty is not incompatible with self-confidence; and there is logic in the thought that unless a man is qualified to advise others professionally, he should not, unaided, prescribe for himself.

3. *Speculation.* The investor of small means is privileged, of course, to step out of his role and become a speculator. (He is also privileged to regret his action afterwards.) There are various types of speculation, and they offer varying chances of success:

*a. Buying stock in new or virtually new ventures.* This we can condemn unhesitatingly and with emphasis. The odds are so strongly against the man who buys into these new flotations that he might as well throw three-quarters of the money out of the window and keep the rest in the bank.

*b. Trading in the market.* It is fortunate for Wall Street as an institution that a small minority of people can trade successfully and that many others think they can. The accepted view holds that stock trading is like anything else; *i.e.*, with intelligence and application, or with good professional guidance, profits can be realized. Our own opinion is sceptical, perhaps jaundiced. We think that, regardless of preparation and method, success in trading is either accidental and impermanent or else due to a